



United States
Attorney's Office
District of New Jersey



Cumberland County Drug and Alcohol Rehabilitation Center Agrees to Pay \$19.75 Million to Resolve False Claims Act Allegations

Wednesday, April 30, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

Camden, N.J. – Summit BHC New Jersey, LLC, d/b/a Seabrook, a drug and alcohol rehabilitation facility in Bridgeton, New Jersey, has agreed to pay \$19.75 million to resolve allegations that it violated the federal False Claims Act, U.S. Attorney Alina Habba announced today. As alleged, Seabrook submitted claims to the Community Care Program of Veterans Health Administration (“VHA”) and New Jersey’s Medicaid program for short-term residential treatment and partial hospitalization care for which it was not properly licensed or contracted and misled State inspectors.

The settlement resolves allegations relating to the care provided and billed by Seabrook, principally to the VHA Community Care Program. The United States alleged that, during the period from January 1, 2022 through December 31, 2024, Seabrook provided services for which it had no license; sought to conceal those improperly performed services from state inspectors; failed to employ a sufficient number of properly-credentialed caregivers; failed to employ a sufficient number of caregivers credentialed in treating patients with both mental health and addiction issues; provided the same care to veterans it provided to other patients, while claiming to be providing specialized care; and kept false, inconsistent, and inadequate records of the care provided to veterans and other patients.

“Today’s resolution demonstrates once again this Office’s commitment to ensure that America’s veterans receive the care they deserve and for which the government has paid. Veterans and Medicaid recipients must receive care from fully qualified, licensed providers in facilities that meet

state law in all respects. We stand ready to enforce these standards and protect the Americans who need this care.”

- U.S. Attorney Alina Habba

“This civil settlement reinforces the VA OIG’s commitment to safeguarding the integrity of VA’s healthcare programs and preserving taxpayer funds,” said Special Agent in Charge Christopher Algieri with the Department of Veterans Affairs Office of Inspector General’s Northeast Field Office. “Providers who participate in the VA Community Care Program must be licensed and follow state and federal law when billing the VA. The VA OIG will continue to work with the U.S. Attorney’s Office and other law enforcement partners to thoroughly investigate providers who fail to meet these standards in providing healthcare to our nation’s veterans.”

“Our federal health care systems serve vulnerable populations, and by not providing the level of care they deserve that purpose is undermined,” stated Special Agent in Charge Naomi Gruchacz with the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). “HHS-OIG, together with our law enforcement partners, will continue to vigorously pursue those who exploit government health programs.”

The civil settlement includes the resolution of claims brought under the *qui tam* or whistleblower provisions of the False Claims Act by a former Seabrook employee. Under those provisions, a private party can file an action on behalf of the United States and receive a portion of any recovery. In this matter, the relator is receiving at least approximately \$3,555,137.28 as her share of the recovery in this case.

Seabrook cooperated in the investigation and resolution of this matter, including by independently investigating the matter, implementing remedial measures, and disciplining responsible individuals.

The resolution was the result of efforts by the United States Attorney’s Office for the District of New Jersey and the Offices of Inspectors General for the Department of Veterans Affairs and Department of Health and Human Services.

The investigation and resolution of this matter illustrates the government’s emphasis on combating health care fraud. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

The matter was handled by Assistant U.S. Attorney Paul W. Kaufman of the Health Care Fraud Unit in the U.S. Attorney’s Office for the District of New Jersey.

The case is captioned *United States ex rel. Coulter and the State of New Jersey v. Seabrook House, Inc., et al.*, Civil Action No. 23-cv-00451 (D.N.J.).

The claims resolved by the settlement are allegations only. There has been no determination of liability.

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Counsel for Seabrook: Richard Westling, Epstein Becker Green, P.C. and Matthew Curley, Bass, Berry, & Sims, PLC

Counsel for Relator Jennifer Coulter: Ross Begelman and Marc Orlow, Javerbaum Wurgaft Hicks Kahn Wikstrom & Sinins, P.C.

[seabrook.agreement.pdf](#)

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